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FINTECH

AI continues to push consumer fintech funding out of favor

By [Nadine Manske](#)

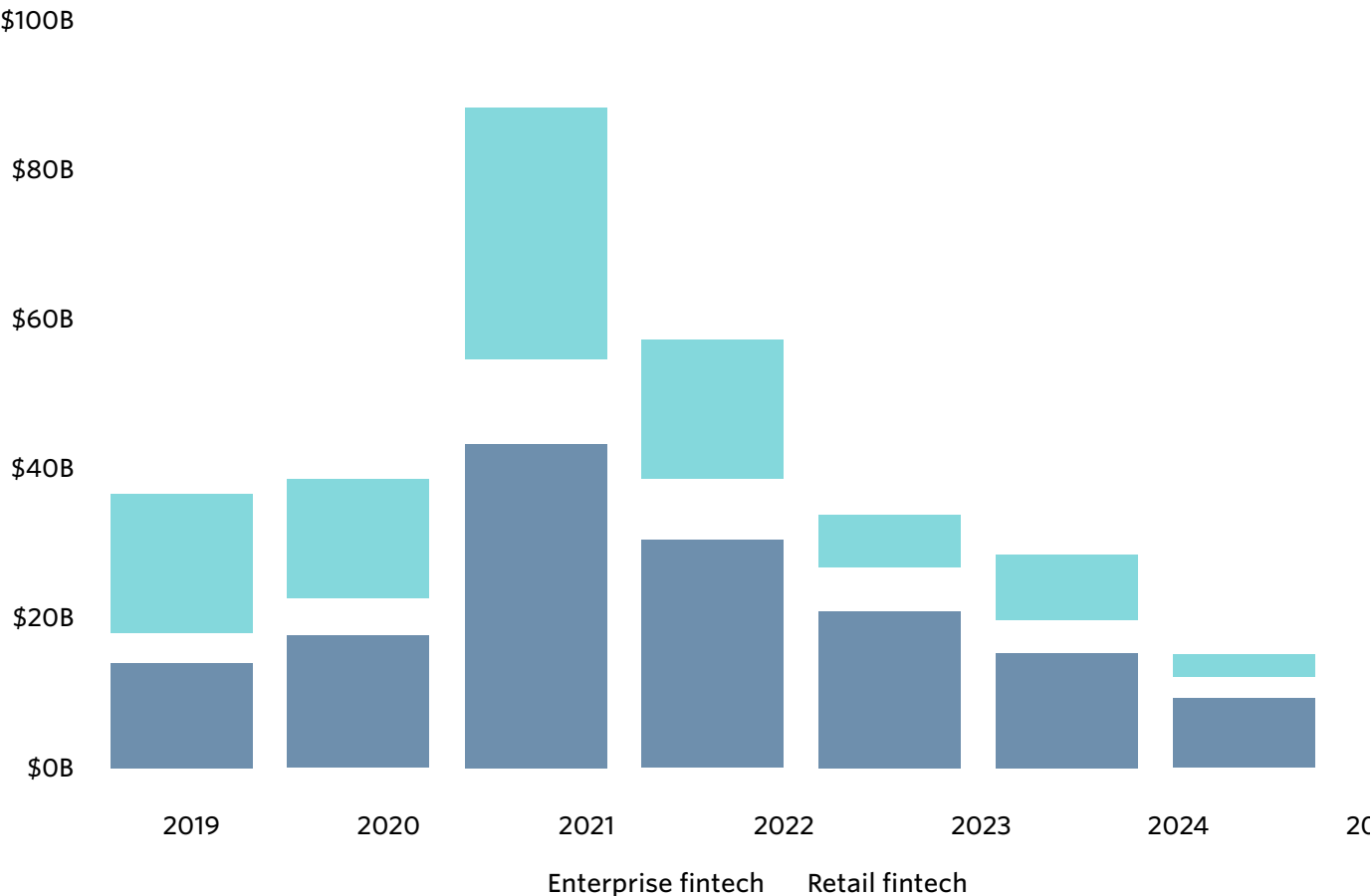
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AI innovation in the [fintech](#) industry is happening where consumers can't see it, helping enterprise startups attract a majority of the venture capital invested in the sector.

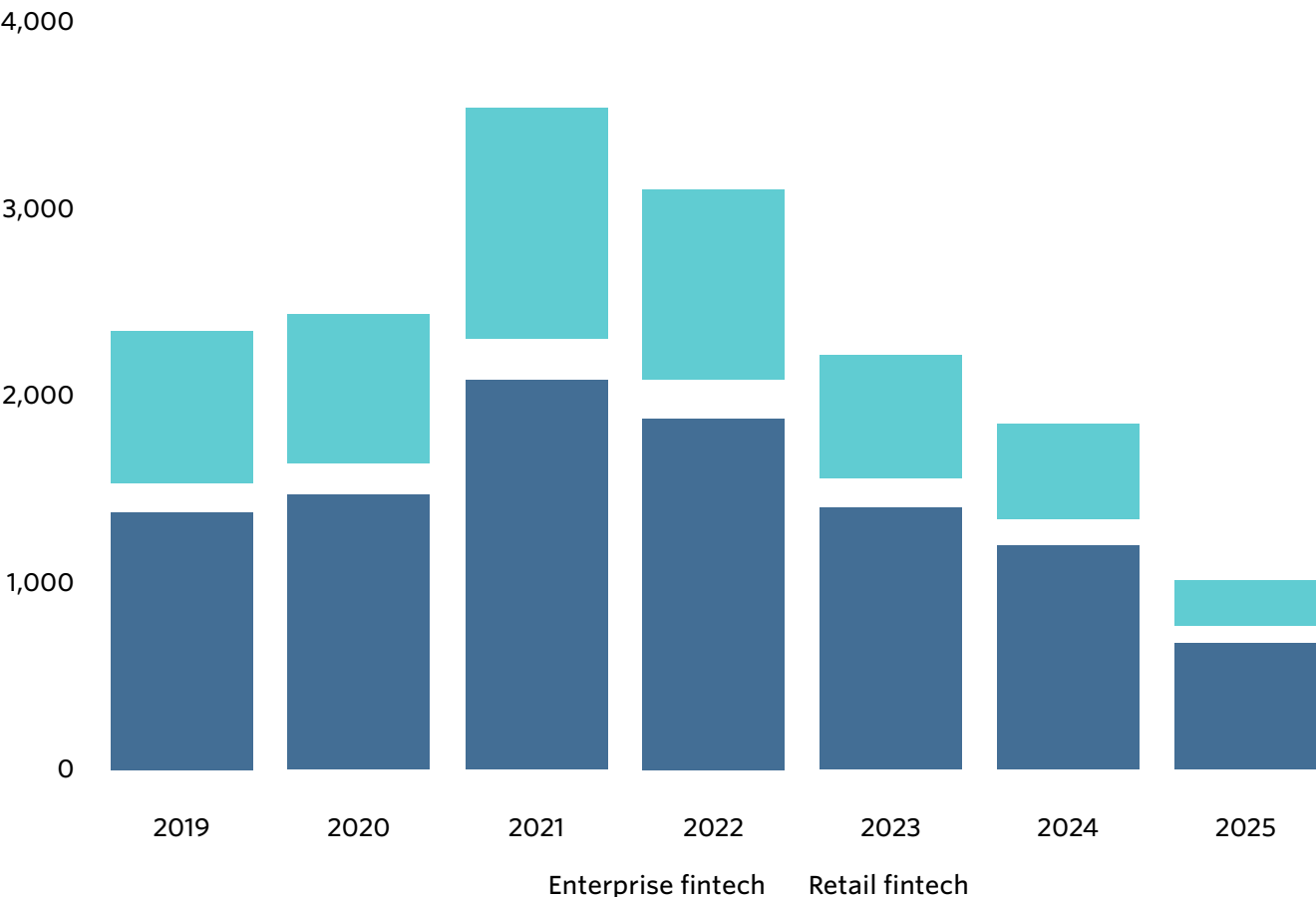
So far this year, enterprise fintech startups have collected 74.6% of all fintech VC deal value, putting 2025 on track to tie the highest proportion in the last 10 years, according to

Enterprise vs retail fintech VC deal value



Source: PitchBook • Geography: Global • As of June 30, 2025

Enterprise vs retail fintech VC deal count



Source: PitchBook • Geography: Global • As of June 30, 2025

In recent years, fintech innovations—especially AI—have mostly been born from enterprise technology. Though consumers are getting a taste of AI through [their neobanks](#), wealth tech and credit services, much more is happening behind the scenes.

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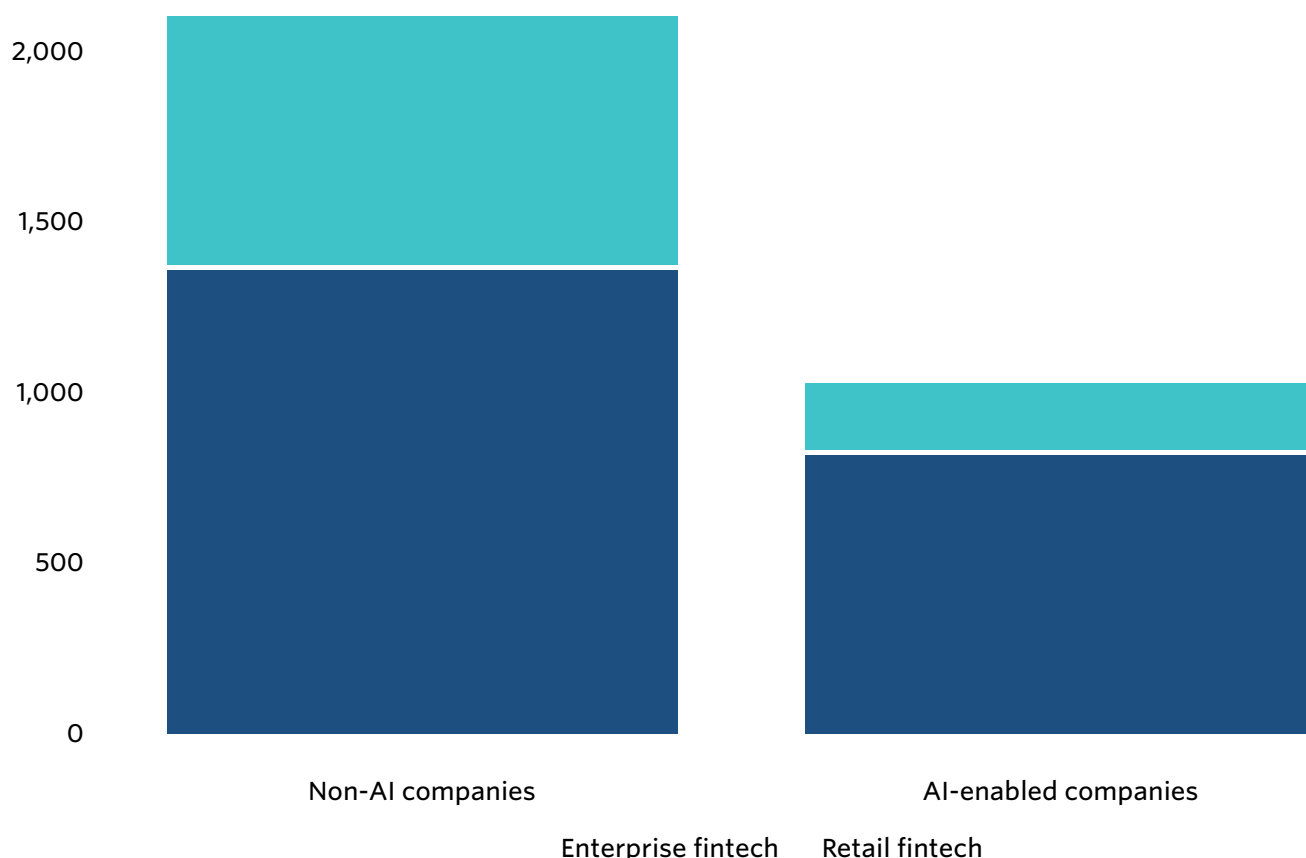
“When you look at the impact that technology, especially AI, has had on consumer experiences, it’s really just a fraction of the overall financial services workflow,” said Neil Kapur, a partner at [TTV Capital](#), an early-stage fintech-focused VC firm.

Kapur said he’s seen the trend of heightened investments in enterprise fintech but is also staying optimistic about investing in retail, even if there is less AI innovation on that side for now.

Enterprise applications of AI are enabling upgrades to legacy systems like accounting, data research and business payments, while consumer products have yet to benefit from this type of AI integration beyond niche areas.

“In B2B, you’ve got so much back-office inefficiency, everything from capital markets to tallying to bookkeeping ... that has been resistant to change over the last few decades,” said PitchBook fintech senior analyst Rudy Yang. “Now you have an AI agent that will do it.”

AI-enabled fintechs are overwhelmingly enterprise-focused startups



Source: [Q3 2025 PitchBook Analyst Note: Fintech's AI Premium](#) ▪ Geography: US ▪ As of June 20, 2025

More than 80% of US fintech companies that have closed a funding round since 2021 and are offering AI as a core part of their product are enterprise-focused, according to [PitchBook's latest analyst note on the sector](#). These AI-enabled fintech startups are also earning higher valuations and raising larger funding rounds in general.

Meanwhile, policy and other macro forces impacting consumers are making investment in fintech products serving them riskier.

"Investors don't like consumer when the market is tough, because it's super cyclical and the most sensitive to things like tariff impacts," Yang said. "We haven't seen it yet, but it's going to affect the consumer. That's what people are scared of."

VCs' preference for AI-enabled enterprise fintech startups is expected to continue, and could drive 2025 to become a record-setting year for the sector.

Featured image by Josie Doan/PitchBook News

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About [Nadine Manske](#)

Nadine Manske is a reporter covering private markets for PitchBook News. She previously worked at the Minnesota Star Tribune and is a graduate of the Medill School of Journalism at Northwestern University.

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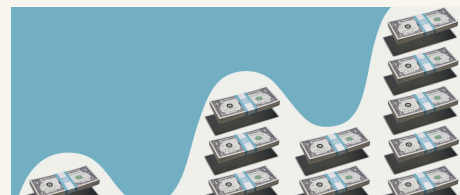


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